

People are accustomed to thinking of accounting as dry and boring, a necessary evil used primarily to prepare financial reports and survive audits, but that is because accounting is something that has become taken for granted. Historically, under the leadership of people such as Alfred Sloan at General Motors, accounting became an essential part of the method of exerting centralized control over far-flung divisions. Accounting allowed GM to set clear milestones for each of its divisions and then hold each manager accountable for his or her division's success in reaching those goals. All modern corporations use some variation of that approach. Accounting is the key to their success.

Unfortunately, standard accounting is not helpful in evaluating entrepreneurs. Startups are too unpredictable for forecasts and milestones to be accurate.

I recently met with a phenomenal startup team. They are well financed, have significant customer traction, and are growing rapidly. Their product is a leader in an emerging category of enterprise software that uses consumer marketing techniques to sell into large companies. For example, they rely on employee-to-employee viral adoption rather than a traditional sales process, which might target the chief information officer or the head of information technology (IT). As a result, they have the opportunity to use cutting-edge experimental techniques as they constantly revise their product. During the meeting, I asked the team a simple question that I make a habit of asking startups whenever we meet: are you making your product better? They always say yes. Then I ask: how do you know? I invariably get this answer: well, we are in engineering and we made a number of changes last month, and our customers seem to like them, and our overall numbers are higher this month. We must be on the right track.

This is the kind of storytelling that takes place at most startup board meetings. Most milestones are built the same way: hit a certain product milestone, maybe talk to a few customers, and see if the numbers go up. Unfortunately, this is not a good indicator of whether a startup is making progress. How do we know that the changes we've made are related to the results we're seeing? More